Creating an Inclusive Business Culture

by Sophia

WHAT'S COVERED

In this lesson, you will learn about the rewards of inclusion, which do come with challenges. Specifically, this lesson will cover:

1. Barriers to Inclusion

While policies and laws that protect people against discrimination are a necessary place to start, they are at best an ethical minimum, preventing open discrimination or outright bullying. Creating a culture that truly values all people is a greater ethical goal and a bigger challenge.

Perhaps the biggest challenge to creating an inclusive environment is that everybody brings**unconscious bias**, or implicit attitudes, beliefs, and stereotypes about other groups of people. These biases can be based on a range of characteristics such as race, ethnicity, gender, sexual orientation, religion, and social class, among others. Unlike **conscious bias**, where people openly admit they make assumptions about others, unconscious bias influences our thoughts without us being fully aware of them.

EXAMPLE When meeting a new colleague, you may base your small talk on their gender—for example, asking a man if he caught the game last night, but asking a woman if she has children.

While conscious bias might lead to harassment or bullying, unconscious bias is more likely to reveal itself as microaggressions (which, you should recall, are subtle or even unintentional reminders of someone's marginalized status). Importantly, though, both forms of bias can lead to discrimination in hiring and promoting employees. It's impossible to avoid some amount of unconscious bias, because we live in a society that is full of biased beliefs and messages. Even a person who grows up in a diverse setting and feels enlightened and inclusive may have unconscious bias against people from other regions of the country.

Few people can identify their unconscious prejudices, and even fewer would be able or willing to identify times that they have acted on their biases. However, studies have demonstrated again and again that however much people insist they are not biased, they are. For example, studies have shown that every racial group is more likely to misidentify the perpetrator of a different racial group after witnessing a crime. Studies have also shown that women are more likely to have their medical complaints dismissed by doctors, even by female doctors. However, this isn't meant to make anyone feel bad. Knowing that you have internalized biases makes it easier to identify and overcome them.

LEARN MORE

The Project Implicit Study at Harvard University has collected data for years that shows people have implicit biases regardless of their stated beliefs. Take a test to determine your own unconscious bias. implicit.harvard.edu/implicit/

One example of implicit bias in business can be seen in the hiring practices of companies. Studies have shown that individuals from certain racial or ethnic backgrounds may be passed over for job opportunities even if they have the same qualifications as other candidates. This bias can be influenced by stereotypes that people hold about certain groups, such as the belief that individuals from certain ethnic groups may not be as competent or hardworking. Importantly, these selection committees do not decide to discriminate, and may not even realize they are discriminating. In fact, they may not have any demographic information about the candidates, but can still make assumptions about gender, race, and ethnicity based on their names. For this reason, many workplaces now remove names from resumes and replace them with numbers, so the search committee can avoid bias.

Overall, unconscious bias can have a significant impact on individuals' words and actions, even when they are not aware of it. Recognizing and addressing these biases is an essential step towards creating a more just and equitable society.

As an ethical manager, your role is to model this behavior, first, and to support people as they do the same. Punitive measures against unconscious biases are not helpful to an inclusive workplace. For example, if a subordinate says something that can be seen as a microaggression, but does not intend to hurt anyone, pointing out the error privately is more productive than public criticism.

> EXAMPLE A colleague spills coffee at a meeting and declares that she is “such a spaz.” Calling her out in front of the meeting will create embarrassment, but simply telling her later that “spaz” is an ableist term will help her choose better words in the future.

You should also be sensitive to differences as you plan events or office space. For example, does your office need a prayer room? Do you have a private place for nursing parents? Are you planning outings Fridays after work at a bar, which omits Muslims, Mormons, and people in recovery? The specific needs will vary from office to office, and your role as manager is to be aware of these needs or talk to staff to make sure they have everything they need. When staff do come to you, practice good listening skills. However, you do not need to be perfect. Moreover, it may do more harm than good if you pretend to be an expert at diversity if you are not.

TERMS TO KNOW

Unconscious Bias
Implicit beliefs about other groups of people.

Conscious Bias
Open beliefs about other groups of people.

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2. The Benefits of Inclusion

WATCH

How can diversity improve a work team?

The twenty-first century workplace features greater diversity, equity, and inclusion (DEI) than was common even a generation ago. Individuals who might once have faced employment challenges because of religious beliefs, disabilities, or sexual orientation now regularly join their peers in interview pools and on the job. Each may bring a new outlook and different information to the table; employees can no longer take for granted that their coworkers think the same way they do. This pushes them to question their own assumptions, expand their understanding, and appreciate alternate viewpoints. The result is more creative ideas, approaches, and solutions. Thus, DEI may also enhance corporate decision making.

Communicating with those who differ from us may require us to make an extra effort and even change our viewpoint, but it leads to better collaboration and more favorable outcomes overall, according to David Rock, director of the Neuro-Leadership Institute in New York City: Diverse coworkers “challenge [our] own and others’ thinking.” According to the Society for Human Resource Management (SHRM), organizational diversity now includes more than just racial, gender, and religious differences. It also encompasses different thinking styles and personality types, as well as other factors such as physical and cognitive abilities and sexual orientation, all of which influence the way people perceive the world: “Finding the right mix of individuals to work on teams, and creating the conditions in which they can excel, are key business goals for today’s leaders, given that collaboration has become a paradigm of the twenty-first century workplace.”

Attracting workers who are not all alike is an important first step in the process of achieving greater diversity. However, managers cannot stop there. Their goals must also encompass inclusion, or the engagement of all employees in the corporate culture. “The far bigger challenge is how people interact with each other once they’re on the job,” says Howard J. Ross, founder and chief learning officer at Cook Ross, a consulting firm specializing in diversity. “Diversity is being invited to the party; inclusion is being asked to dance. Diversity is about the ingredients, the mix of people and perspectives. Inclusion is about the container—the place that allows employees to feel they belong, to feel both accepted and different.”

Diversity need not be a financial drag on a company, measured as a cost of compliance with no return on the investment. A recent McKinsey & Company study concluded that companies that adopt diversity policies do well financially, realizing what is sometimes called a **diversity dividend**. The study results demonstrated a statistically significant relationship of better financial performance from companies with a more diverse leadership team. Companies in the top 25% in terms of gender diversity were 15% more likely to post financial returns above their industry median in the United States. Likewise, companies in the top 25% of racial and/or ethnic diversity were 35% more likely to show returns exceeding their respective industry median (Dixon-Fyle, et al, 2020).

These results demonstrate a positive correlation between diversity and performance, rebutting any claim that affirmative action and other such programs are social engineering that constitutes a financial drag on earnings. In fact, the results reveal a negative correlation between performance and lack of diversity, with companies in the bottom 25% for gender and ethnicity or race proving to be statistically less likely to achieve above-average financial returns than the average companies. Nondiverse companies were not leaders in performance indicators. Positive correlations do not equal causation, of course, and greater gender and ethnic diversity do not automatically translate into profit. Rather, as this chapter shows, they enhance creativity and decision making, employee satisfaction, an ethical work environment, and customer goodwill, all of which, in turn, improve operations and boost performance.

Diversity is not a concept that matters only for the rank-and-file workforce; it makes a difference at all levels of an organization. The McKinsey & Company study, which examined 20,000 firms in 90 countries, also found that companies in the top 25% for executive and/or board diversity had returns on equity more than 50% higher than those companies that ranked in the lowest 25%. Companies with a higher percentage of female executives tended to be more profitable (Noland, Moran & Kotschwar, 2016).

Achieving equal representation in employment based on demographic data is the ethical thing to do because it represents the essential American ideal of equal opportunity for all. It is a basic assumption of an egalitarian society that all have the same chance without being hindered by immutable characteristics. However, there are also directly relevant business reasons to do it. More diverse companies perform better, as we saw earlier in this chapter, but why? The reasons are intriguing and complex. Among them are that diversity improves a company's chances of attracting top talent and that considering all points of view may lead to better decision making. DEI also improves customer experience and employee satisfaction.

To achieve improved results, companies need to expand their definition of diversity beyond race and gender. For example, differences in age, experience, and country of residence may result in a more refined global mindset and cultural fluency, which can help companies succeed in international business. A salesperson may know the language of customers or potential customers from a specific region or country, for example, or a customer service representative may understand the norms of another culture. Diverse product-development teams can grasp what a group of customers may want that is not currently being offered.

Resorting to the same approaches repeatedly is not likely to result in breakthrough solutions. DEI efforts, however, provide usefully divergent perspectives on the business challenges companies face. New ideas help solve old problems—another way diversity makes a positive contribution to the bottom line.

TERM TO KNOW

Diversity Dividend

The measurable improvement in financial performance from having a diverse leadership team.

3. Resistance to Change

Diversity is not always an instant success; it can sometimes introduce workplace tensions and lead to significant challenges for a business to address. Some employees simply are slow to come around to a greater appreciation of the value of diversity because they may never have considered this perspective before. Others may be prejudiced and consequently attempt to undermine the success of diversity initiatives in general. In 2017, for example, a senior software engineer's memo criticizing Google's diversity initiatives was leaked, creating significant protests on social media and adverse publicity in national news outlets. The memo asserted "biological causes" and "men's higher drive for status" to account for women's unequal representation in Google's technology departments and leadership.

Google's response was quick. The engineer was fired, and statements were released emphasizing the company's commitment to diversity. Although Google was applauded for its quick response, some argued that an employee should be free to express personal opinions without punishment. Of course, as discussed previously, public opinions that disparage or discredit the employer are not protected speech and are likely against the code of conduct.

Later, the fired engineer and a coworker filed a class action lawsuit against Google on behalf of three specific groups of employees who claim they have been discriminated against by Google: Whites, conservatives, and men. This is not just the standard "reverse discrimination" lawsuit; it goes to the heart of the culture of diversity and one of its greatest challenges for management—the backlash against change.

In February 2018, the National Labor Relations Board ruled that Google's termination of the engineer did not violate federal labor law and that Google had discharged the employee only for inappropriate but unprotected conduct or speech that demeaned women and had no relationship to any terms of employment. Ultimately the civil lawsuit was also dismissed (Shankland, 2020).

However, other lawsuits against Google have been filed since by other workers fired for having unpopular opinions, including three engineers who protested Google's collaboration with the construction of the border wall, and a woman who was fired for letting colleagues know their legal rights to unionize.

Yet other employees are resistant to change in whatever form it takes, particularly those who perceive DEI initiatives as a loss of power and privilege. As inclusion initiatives and considerations of diversity become more prominent in employment practices, leaders should be prepared to fully explain the advantages to the company of greater diversity in the workforce as well as making the appropriate accommodations to support it.

THINK ABOUT IT

If diversity includes "different thinking styles" and "different personality types," as the Society for Human Resource Managers suggests, does this mean accommodating people who are skeptical about DEI initiatives or even openly biased against LGBTQ+ colleagues for religious reasons? This is one of the paradoxes that managers must deal with.

SUMMARY

In this lesson, you learned about the **barriers to inclusion** that might interfere with the inclusive environment you want to cultivate. The biggest of these is not outright prejudice but unconscious bias, the implicit attitudes people have that they often will not admit to or even recognize. However, the **benefits of inclusion** in the workplace are worth it, including increased creativity, innovation, and employee engagement. Despite these benefits, there is often **resistance to change**, particularly by those who perceive a loss of privilege and power. Helping people see the benefits of diversity is the best way to overcome this resistance.

REFERENCES

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